

Vehicle Rental Frequently Asked Questions

How does the Car Rental Program work? Through a joint agreement with the Western States Contracting Alliance, the State has secured discounted, contract rates with Enterprise Rent a Car, National Car Rental (Price Agreement No 9950) and Hertz Rent a Car (Price Agreement No. 9949). The Price Agreement's contains the account code that must be given to the reservation clerks in order to guarantee the state rates. Enterprise, Hertz and National has provided our employees a variety of payment options.

Note: When renting a car from Enterprise, Hertz or National, be sure to inform them of the State's Corporate Number. This number will give the Enterprise, Hertz or National location you are renting from all of the information related to the States contract pertaining to rental rates, insurance requirements and other information. No non-state employees may rent vehicles using these agreements.

Who can rent and operate vehicles under the State Price Agreements for vehicle rental services?

Any State Employee or Agent of the State may operate the vehicles. There is sometimes confusion whether or not non-state employees can operate the vehicles provided under the Enterprise/National and Hertz Price Agreements. When ever a vehicle is rented by the state, that rental vehicle falls under the same rules and statutes that apply to state owned vehicles. They are as follows:

Agent means: A person or legal entity appointed in writing by a State agency to perform specific work. An agent is not an independent contractor. Agents, paid or unpaid, are subject to the direction and control of the agency. An agency may not call people "agents" for the primary purpose of justifying their transportation in a State vehicle.

Employee means: A person employed by the State of Oregon to do State business for whom the State withholds income tax, provides workers compensation coverage, and pays the workers' compensation hour-tax. Under this definition, workers provided by a temporary employment services agency and Department of Corrections inmates are not employees.

Vehicle use and storage: No person shall drive, operate or use, authorize or permit any person to drive, operate or use any motor vehicle as defined in ORS 283.305 for any purpose except for Official State business as defined in ORS 283.305 and by the rules of the Oregon Department of Administrative Services.

In other words, when reserving a vehicle that is to be operated by a non-state employee, you need to ask the question whether that person would be allowed to operate a state owned vehicle as an agent or employee as defined above. If the answer is no, then that person should NOT be driving a vehicle under these price agreements. The Price Agreements state that the "traveler" is a person who is authorized to travel by a participant, however, per ORS 283.305, the Traveler must fall into either the Agent or Employee definition. No other individuals are authorized to operate the vehicles under our Price Agreements with Enterprise/National and Hertz.

The primary reason is the liability involved for the person driving the vehicle, the Contractor and the State. Our Price Agreements include full damage and liability insurance coverage and if a person was involved in an accident operating a rental vehicle, and it was discovered that the person was not a state employee or agent of the state, the state could ultimately end up being responsible for a non-state employee or non-state agent accident.

Is it mandatory that I use the Car rental program? Yes. If you are in one of Enterprise, Hertz or National cities, you must use the program. If you are in a city and there is no Enterprise, Hertz or National location there, you may use another provider; just remember to purchase the insurance when renting from another car rental company.

Why do I need a credit card when renting a car? The car rental companies, nationwide, require this of ALL customers. This is for their protection when renting a car to an individual. However, Enterprise, Hertz or National will provide agencies that have a documented need with agency direct billing accounts.

All charges are accumulated and billed to the agency's account. In this case, a credit card will not be required as Enterprise, Hertz or National has the agency's account information on file.

Do I need to buy the extra insurance when renting a car? NO. Enterprise, Hertz or National contract covers ALL damage occurred while using the car rental contract. Also, the State's insurance will cover any leased or rented vehicle operated by State Employees while on official business.

What is the insurance coverage for renting cars in Foreign Countries? The Insurance coverage the State of Oregon provides for car rentals in foreign countries varies from country to country. Please call DAS Risk Management at (503) 378-5515 to verify the type of coverage's that are available for the countries you are traveling to and to determine if you will need to purchase additional insurance from the car rental company.

What is the mileage limit under the Car rental program? Unlimited miles although you must pickup and drop off the car at the same location. Usually the airport you flew into.

What if I need to drop the car off at a different location? You can do a one way rental program, but you will be charged a per mileage charge from the origin point to the destination. There are select cities where no one-way charges are provided, please review the contract for these cities. A 7 day advanced reservation is required to do this. It is critical that you get the 7 day reservation in, it will reduce the per mileage fee between the two locations.

Do I need to be over 25 to rent a Car? NO The State contract allows drivers 18 and older to rent a vehicle.

Car Rental Confirmation Numbers. It is recommended that you take the Car Rental Confirmation Number with you when you are going to pick up the rental. This will expedite the rental process.

Please walk around vehicle before departing from rental location. If there are any marks/scratches/damage on vehicle please bring to the counters attention and have them sign off on it.

I need to rent a car, who do I call to make a reservation? You can either call Enterprise, Hertz or National or the States Travel Contractor to make the reservation.

Updated 04/06/2010

**WASHINGTON STATE INVESTMENT BOARD
Public Markets Committee Meeting Minutes
February 3, 2009**

The Public Markets Committee met in open public session at 1:00 p.m. at the Washington State Investment Board (WSIB) office at 2100 Evergreen Park Drive Southwest, Olympia, Washington.

Members Present: Mike Ragan, Chair
George Masten
David Nierenberg (via teleconference)
Mason Petit
Judy Schurke

Members Absent: Charlie Kaminski
John Magnuson
Robert Nakahara
Representative Sharon Tomiko Santos

Others Present: Joe Dear, Executive Director
Gary Bruebaker, Chief Investment Officer
Philip Paroian, Senior Investment Officer – Public Equity
David Thatcher, Investment Officer – Public Equity
John Lynch, Contracts Manager
Kristi Bromley, Administrative Assistant – Investments
Steve Dietrich, Assistant Attorney General

Paul Brakke, State Street Global Advisors
Lynn Blake, State Street Global Advisors
Tom Motley, State Street Global Advisors
Neil Tremblay, State Street Global Advisors

[Names of other individuals attending the meeting are not included in the minutes but are listed in the permanent record.]

The meeting convened at 1:00 p.m. with Chair Ragan identifying members present.

REVIEW AND APPROVAL OF MINUTES – DECEMBER 2, 2008

Mr. Masten moved to adopt the December 2, 2008, Public Markets Committee minutes. Mr. Petit seconded, and the motion carried unanimously.

INDEX-RELATED PRODUCTS MANAGER PRESENTATION

Mr. Thatcher introduced himself and reviewed the process and results of the index-related products search. The current non-U.S. index contract with State Street Global Advisors (SSgA) expires March 31, 2009. Many of the WSIB programs use passive indexing, including defined benefit and defined contribution programs as well as qualified and nonqualified portfolios. Indexing is used to gain broad based equity exposure at the lowest possible cost. Callan Associates assisted WSIB staff with this search. The search process was similar to the one conducted for U.S. indexes in 2007 to provide the WSIB with access to all index-related products offered by the firm. The primary focus will be non-U.S. equity products. Because of its size, the WSIB requires significant capacity from any index-related manager.

Only two investment firms met the minimum requirements of the search: SSgA and Barclays Global Investors (BGI). Both firms exhibited strengths and advantages and scored well during the evaluation; neither had major weaknesses. While both firms are very competent managers of index products, three main factors contributed to the staff's recommendation of SSgA over BGI: (1) Incumbency—as the incumbent, SSgA has served the WSIB in this role for the past 13 years. Securities lending is imbedded into the index process and, because of the liquidity and volatility challenges in the current market, changing from one index provider and securities lending pool to another may cause significant turmoil and cost to the defined benefit portfolio as well as Plan 3 and DCP participants. (2) Diversification—the WSIB benefits from having two separate and different index providers. This also limits some operational and investment risks by not concentrating all passive mandates with one firm. (3) Performance—SSgA's performance record has been good and they have added between 20 and 40 basis points annualized over various time periods. There is no compelling reason to transition from SSgA and staff's recommendation is to award the new contract to them as the incumbent non-U.S. index manager.

Mr. Thatcher addressed the recent media attention that SSgA's parent company, State Street Corporation (SSC), has received regarding their recent fourth quarter 2008 announcement of a 71 percent drop in profits and discussed steps that have been taken to assure that the WSIB's holdings with SSgA are not affected by any potential credit rating downgrade of the parent company. Mr. Thatcher also reviewed the differences between investing in a commingled fund versus separate account. Investing in commingled funds for non-U.S. equity is preferred as they offer an easy platform for large-scale investments into many international markets, low cost access and economies of scale, low cost trading opportunities, and lower management fees and administration costs. He also discussed the additional characteristics of commingled funds wherein the manager votes the proxies and exercises any class action litigation rights as well as the role of securities lending in the investment management of index funds.

Discussion ensued regarding benchmarks, securities lending, and proxy voting. The Committee also discussed further due diligence to ensure that losses at a company's parent organization would not prevent WSIB from having access to our funds and or impair the safety of the WSIB's assets under all foreseeable circumstances.

Mr. Brakke, Ms. Blake, Mr. Tremblay, and Mr. Motley introduced themselves. Mr. Tremblay provided an organizational overview and discussed recent market challenges and the effect on SSC. SSgA is one of the three core businesses of SSC. Mr. Tremblay reviewed assets under management and steps SSC and SSgA have taken in response to the current market environment. There has been no personnel turnover associated with any of the accounts SSgA manages on the WSIB's behalf and the parent company continues to reinvest resources in SSgA in order to better serve client needs.

Mr. Brakke reviewed the global structured products group and strategies. Indexing is a core business for SSgA and a significant part of their total revenue. He reviewed the team, organizational structure, strategies, and assets under management by strategy. Ms. Blake reviewed SSgA's non-U.S. index experience including separate country funds, diverse client base, results, and assets under management. She provided an overview of various SSgA non-U.S. index strategies including index structure and methodology as well as portfolio construction and performance.

Mr. Motley discussed securities lending and provided an overview of SSgA's cash management by security type and asset backed securities allocation. He reviewed SSgA's cash collateral investment management objectives, process, and philosophy and discussed current challenges and opportunities. Mr. Motley reviewed the summary characteristics of SSgA's securities lending funds.

Discussion ensued regarding the uncertainty of recent market events, deterioration of the global economy, U.S. unemployment expectations and tie in with asset backed securities, depth of recession, and unintended consequences from government intervention.

Mr. Masten moved that the Public Markets Committee recommend the Board approve the selection of State Street Global Advisors as an index-related products investment manager for the WSIB, with a focus on non-U.S. index-related products, subject to final negotiations of terms, conditions, and fees. Mr. Petit seconded the motion.

The Committee and staff discussed appropriate safeguards surrounding protection of fund assets. It was agreed that as part of the "final negotiations of terms," WSIB staff from investments and contracts would work with legal counsel from the Attorney General's office and outside counsel if necessary to ensure that the contract contains appropriate wording to protect the fund's assets.

The motion carried unanimously.

[The Committee recessed at 2:22 p.m. and reconvened at 2:32 p.m.]

Chair Ragan announced that the Committee would go into executive session to discuss financial and commercial information relating to an investment since public knowledge regarding the discussion would result in loss to the funds managed by the WSIB or would result in private loss to the providers of the information. The executive session was expected to last approximately 30 minutes at which time the Committee would reconvene in open public session.

ENHANCED INDEXING PROGRAM REVIEW

[The committee entered executive session at 2:32 p.m.]

[Mr. Nierenberg was no longer in attendance at 3:00 p.m.]

[The committee reconvened in open public session at 3:34 p.m.]

Mr. Petit moved that the Public Markets Committee recommend the Board approve the specific actions related to the U.S. equity enhanced index mandate within the Public Equity program discussed in executive session. Mr. Masten seconded, and the motion carried unanimously.

Ms. Schurke moved that the Public Markets Committee recommend the Board approve the specific actions recommended by the staff related to the non-U.S. equity enhanced index mandate within the Public Equity program discussed in executive session. Chair Ragan seconded, and the motion failed with Mr. Masten and Mr. Petit voting no.

Mr. Petit moved that the Public Markets Committee recommend the Board direct staff to execute the transition plan as recommended by the staff in executive session. Mr. Masten seconded, and the motion carried unanimously.

Mr. Petit moved that the Public Markets Committee recommend the Board direct staff to begin a competitive process to identify enhanced index managers for the Committee's and Board's consideration. Ms. Schurke seconded and the motion carried with Mr. Masten voting no.

OTHER ITEMS

There was no further business to come before the Public Markets Committee and the meeting adjourned at 3:38 p.m.